

Finland

Finnish Competition and Consumer Authority

The Finnish Competition and Consumer Authority (FCCA) has recently introduced a cartel screening function that is partially based on automated computational tools. In the process, applicable data is screened using tried and tested statistical methods. The screening consists of two stages where suspicious markets are first initially flagged and then reported internally to the cartel detection function when considerable collusive tendencies are observed. The analytical work is conducted by the agency's economists.

For the time being, the FCCA focuses on discovering cartels in public procurement tenders. The agency has good access to comprehensive bidding information from tenders held in Finland which makes screening this data a good starting point. However, the scope of cartel screening can be broadened to cover data from other types of markets e.g., by implementing the tools on data collected through web scraping.

To showcase the impact of cartel screening, the FCCA applied the toolkit on two substantial Nordic cartels which operated in the asphalt paving markets in Finland and Sweden. Cartel behavior could be distinguished from the distribution of bids both using a supervised machine learning approach and a separate distributional regression test. The results clearly demonstrate that the cartels could have been caught using statistical methods. With these new ex-officio cartel investigation tools, the harmful conducts could also likely have been detected earlier.

The FCCA's cartel screening process consists of two interrelated stages. In the first one, a set of methods are applied systematically on all different combinations of tenders that might need to be looked at together. This part of the process is highly automated in order to achieve maximum efficiency. In practice a multitude of different generalizable tests with different types of thresholds are ran simultaneously, and consequently some of the markets are flagged as being initially suspicious.

In the second stage of the process, a select group of markets are analyzed in-depth using methods that require more customization. The aim of the second part is to weed out truly suspicious firms and markets from false red flags. The guiding thought is to test whether the results from the first stage could be explained by

something other than collusion. The second stage relies less on automation as the underlying data needs to be meticulously examined. Markets and firms still deemed suspicious after the second stage are reported internally to the cartel detection function which decides upon the next steps of the investigations.